

20 CASE STUDIES

India's Most Impactful Financial Scandals

A Comprehensive Analysis of Fraud, Governance Failures, and Regulatory Lessons

Covering: Stock Market Scams · Banking Frauds · Corporate Governance · Policy
Corruption

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Case Study 01

Harshad Mehta Scam

The Big Bull of Dalal Street

At a Glance

Period	1991–1992
Amount	₹ 5,000 crore (estimated)
Key Figure	Harshad Shantilal Mehta
Sector	Stock Market / Banking
Outcome	Arrested; Sensex crashed ~40%; died in custody 2001

Background

Harshad Mehta was a stockbroker who became famous for engineering a massive bull run on the Bombay Stock Exchange. Using a loophole in the inter-bank securities settlement system, he diverted bank funds worth thousands of crores into the stock market, artificially inflating prices of select scrips like ACC, Sterlite, and Videocon.

Modus Operandi

- Exploited the Bank Receipt (BR) instrument—essentially forged or unsecured BRs were used to siphon money from banks.
- Colluded with officials at National Housing Bank (NHB) and other banks to route funds.
- Pumped select stocks, creating artificial demand and media frenzy.
- Personally purchased luxury apartments and flashy cars, drawing public attention.

Impact & Consequences

- BSE Sensex fell from 4,467 to under 2,500 within months of exposure.
- Over 30 banks defrauded; State Bank of India lost - ₹ 600 crore.
- Thousands of retail investors lost their savings.
- Led to sweeping SEBI reforms and stricter banking oversight.

Key Lessons Learned

- *Loopholes in settlement systems can be catastrophically exploited.*
- *Regulatory arbitrage thrives in the absence of real-time monitoring.*
- *Media-driven euphoria can mask systemic fraud for years.*

Case Study 02

NSEL Scam

National Spot Exchange Limited Fraud

At a Glance

Period	2013
Amount	₹ 5,600 crore
Key Figure	Jignesh Shah, NSEL Management
Sector	Commodity Spot Exchange
Outcome	Exchange suspended; FMC merged into SEBI; Jignesh Shah arrested

Background

NSEL (National Spot Exchange Limited), promoted by Financial Technologies India Ltd (FTIL), offered paired contracts — investors bought commodities and simultaneously sold forward contracts promising high returns. In reality, the warehouses backing these trades were either empty or over-pledged.

Modus Operandi

- Offered short-term paired contracts guaranteeing 14–16% annual returns.
- No actual commodity delivery — a Ponzi-like circular flow of funds.
- Fraudulent warehouse receipts presented as collateral.
- Promoters diverted investor funds to related-party companies.

Impact & Consequences

- ~13,000 investors and brokers lost - ₹ 5,600 crore.
- NSEL defaulted on settlements in July 2013, sparking a crisis.
- FTIL's stock lost over 90% of its value.
- Led to the merger of FMC with SEBI for stronger commodities regulation.

Key Lessons Learned

- *Guaranteed high returns in commodity markets are a classic red flag.*
- *Spot exchanges require robust warehouse auditing and third-party verification.*
- *Regulatory gaps between FMC and SEBI allowed the fraud to persist.*

Case Study 03

Singh Brothers Scam

Fortis Healthcare & Religare Fraud

At a Glance

Period	2018 (revealed)
Amount	~₹ 3,700 crore diverted
Key Figures	Malvinder Singh & Shivinder Singh
Sector	Healthcare & Financial Services
Outcome	Arrested for fraud and criminal breach of trust

Background

Malvinder and Shivinder Singh, promoters of Fortis Healthcare and Religare Enterprises, were accused of diverting large sums from the companies through Inter-Corporate Deposits (ICDs) routed via shell companies to repay personal debts — including a Rs. 3,500-crore arbitration award to Daiichi Sankyo.

Modus Operandi

- Funds moved out of listed companies via shell entities as inter-corporate deposits.
- Used funds to service personal liabilities rather than business purposes.
- Board oversight was allegedly compromised through nominee directors.
- Fabricated or backdated documents to justify the fund flows.

Impact & Consequences

- Fortis Healthcare share price fell over 60%; patients and staff were affected.
- Religare Finvest suffered major losses; thousands of depositors impacted.
- Promoters were eventually arrested and faced multiple criminal cases.
- Daiichi Sankyo attached properties globally to recover its arbitration award.

Key Lessons Learned

- *Related-party transactions and ICDs need independent board scrutiny.*
- *Founder-controlled boards are a significant corporate governance risk.*
- *Auditors must flag unusual fund movements to promoter-linked entities.*

Case Study 04

Café Coffee Day (CCD)

The Hidden Debt Crisis

At a Glance

Period	2019 (crisis revealed)
Amount	₹ 7,000+ crore debt
Key Figure	V.G. Siddhartha (Founder)
Sector	Retail / F&B; / Conglomerate
Outcome	Founder found dead; company restructured under new management

Background

V.G. Siddhartha built the CCD empire over decades, but behind the scenes he was grappling with a massive and growing debt pile. His conglomerate had borrowed heavily to fund expansion and investments in tech startups. In July 2019, he wrote a letter to his board alleging harassment by tax authorities and lenders, before going missing. His body was found the next day.

Modus Operandi

- Debt concealed through complex holding company structures.
- Personal guarantees given for corporate loans, blurring liability.
- Alleged pressure from Income Tax department for undisclosed payments.
- Asset sales (including a stake sale to Coca-Cola subsidiary) could not cover liabilities fast enough.

Impact & Consequences

- Over 30,000 employees faced job uncertainty.
- CCD's listed arm (Coffee Day Enterprises) lost significant market value.
- Highlighted the vulnerability of founder-driven, highly-leveraged businesses.
- Sparked national debate on tax authority overreach and corporate stress.

Key Lessons Learned

- *Transparent disclosure of debt at all levels of a conglomerate is essential.*
- *Excessive personal guarantees by promoters are a hidden systemic risk.*
- *Mental health pressures on entrepreneurs need institutional support frameworks.*

Case Study 05

Sahara Scam

Optionally Fully Convertible Debentures Fraud

At a Glance

Period	2008–2013 (court battles)
Amount	~₹ 24,000 crore raised; ₹ 17,000+ crore to be refunded
Key Figure	Subrata Roy (Sahara Group)
Sector	Real Estate / Finance
Outcome	Subrata Roy jailed 2014; SEBI attachment orders; partial refunds

Background

Sahara Group raised money from millions of small investors across rural India through Optionally Fully Convertible Debentures (OFCDs). SEBI ruled that these instruments constituted a public issue requiring SEBI compliance — a finding Sahara disputed. The Supreme Court ultimately ordered Sahara to refund investors with interest, a saga that stretched over a decade.

Modus Operandi

- Raised funds from ~3 crore investors via two group companies outside SEBI purview.
- Claimed OFCDs were private placements not subject to SEBI regulations.
- Investor KYC records were allegedly incomplete or fictitious.
- Funds diverted into real estate and other group projects.

Impact & Consequences

- Millions of small investors — many in rural India — could not get refunds easily.
- SEBI's investigative and enforcement powers were significantly tested and expanded.
- Subrata Roy was arrested; Sahara's properties attached globally.
- Landmark Supreme Court judgment strengthened collective investment scheme regulation.

Key Lessons Learned

- *Regulatory jurisdiction gaps (SEBI vs company law) can be exploited.*
- *Enormous scale of retail participation can mask fraudulent structures for years.*
- *KYC norms and investor record-keeping are the first line of defence.*

Case Study 06

IL&FS; Collapse

Infrastructure Leasing & Financial Services Crisis

At a Glance

Period	2018
Amount	₹ 91,000 crore debt
Key Figure	Ravi Parthasarathy & Board
Sector	Infrastructure Finance / NBFC
Outcome	Government superseded board; SFIO investigation; restructuring ongoing

Background

IL&FS; was a systemically important NBFC that funded major infrastructure projects across India. Despite AAA ratings, the company was secretly insolvent — using short-term borrowings to fund long-term infrastructure assets. When it defaulted on commercial paper in September 2018, it triggered a liquidity crisis across the entire NBFC and mutual fund ecosystem.

Modus Operandi

- Asset-liability mismatch: long-gestation infrastructure projects funded by short-term debt.
- Ratings agencies awarded AAA despite deteriorating fundamentals — possible conflict of interest.
- Auditors (BSR & Associates, Deloitte) missed or overlooked signs of distress.
- Management paid huge bonuses even as the company neared insolvency.
- Related-party transactions and circular loans within group entities.

Impact & Consequences

- NBFC sector froze; mutual funds with IL&FS; paper saw redemption pressure.
- Dewan Housing (DHFL), Reliance Capital, and others fell in a contagion.
- RBI and government forced to urgently intervene to restore liquidity.
- SFIO prosecuted auditors and directors; landmark case for auditor accountability.

Key Lessons Learned

- Credit ratings must be independent and forward-looking, not backward-looking.
- Systemically important NBFCs need near-bank-level regulatory oversight.
- Boards must include truly independent directors, not nominees of management.

Case Study 07

Satyam Computers Scam

India's Enron — 2009

At a Glance

Period	2003–2009
Amount	₹ 7,800 crore cash fabricated
Key Figure	Ramalinga Raju (Chairman)
Sector	IT Services
Outcome	Raju convicted; Tech Mahindra acquired Satyam; SEBI fined PwC

Background

Satyam Computer Services was one of India's largest IT outsourcing firms and a Nasdaq-listed company. On January 7, 2009, Chairman Ramalinga Raju sent a shocking confession letter to the board admitting that the company's books had been falsified for years — cash balances were inflated by ₹ 5,040 crore and revenues were overstated.

Modus Operandi

- Created 6,000+ fake salary accounts to inflate employee headcount and payroll costs.
- Forged bank statements to show cash that did not exist.
- Overstated revenues, margins, and cash holdings for years.
- Planned a related-party acquisition (Maytas) to use fictitious cash, which failed.
- Auditor PricewaterhouseCoopers signed off without independent verification.

Impact & Consequences

- Satyam stock fell 78% in a single day — one of India's largest single-session crashes.
- Global clients fled; ~50,000 employees faced job uncertainty.
- Raju and brother jailed; PwC India banned for 2 years by SEBI.
- Led to mandatory rotation of auditors and stronger corporate governance norms.

Key Lessons Learned

- External auditors must independently verify cash balances with banks.
- A culture of fear and founder dominance suppresses internal whistleblowing.
- Nasdaq listing did not provide adequate protection — cross-border oversight gaps exist.

Case Study 08

DHFL Scandal

Dewan Housing Finance Corporation Ltd

At a Glance

Period	2019–2020
Amount	₹ 34,000+ crore
Key Figures	Kapil Wadhawan & Dheeraj Wadhawan
Sector	Housing Finance / NBFC
Outcome	Arrested under PMLA; DHFL liquidated; Piramal acquired assets

Background

DHFL was India's third-largest housing finance company. An investigative report in January 2019 alleged that the promoters created a network of shell companies — nicknamed 'Bandra Books' — to divert retail deposits and bank loans for personal enrichment, including real estate and cricket team investments.

Modus Operandi

- Created thousands of fictitious retail loan accounts to divert funds.
- Shell companies received loans, which were then siphoned offshore or into realty.
- Raised ₹ 22,000+ crore from public deposits and mutual funds.
- Colluded with Yes Bank (Rana Kapoor) in quid-pro-quo lending arrangements.

Impact & Consequences

- Fixed deposit holders — many retired individuals — lost access to savings.
- Mutual funds with DHFL exposure saw NAV crashes; redemptions halted.
- Contributed to broader NBFC sector stress post-IL&FS.;
- First housing finance company to be resolved under IBC insolvency framework.

Key Lessons Learned

- Retail deposit-taking NBFCs need deposit insurance and bank-like supervision.
- Connected lending (quid-pro-quo between banks and NBFCs) requires strict firewalls.
- Whistleblower protections encourage earlier exposure of fraud.

Case Study 09

Karvy Stock Broking

Misuse of Client Securities

At a Glance

Period	2019
Amount	₹ 2,800 crore of client securities pledged
Key Figure	C. Parthasarathy (MD)
Sector	Stock Broking
Outcome	SEBI banned Karvy; criminal charges filed; clients gradually compensated

Background

Karvy Stock Broking was one of India's top retail brokers with millions of clients. SEBI investigations in 2019 revealed that Karvy had illegally transferred client securities — stocks held in client demat accounts — into a pool account and then pledged them to banks to raise loans for its own real estate subsidiary.

Modus Operandi

- Transferred client securities (without consent) from individual demat accounts to a broker pool account.
- Pledged pooled client stocks with banks as collateral for corporate loans.
- Loans used to fund Karvy Realty — a completely different, loss-making business.
- Maintained falsified records to delay detection.

Impact & Consequences

- ~95,000 retail investors' securities worth ₹ 2,800 crore were at risk.
- SEBI issued emergency order restricting Karvy from onboarding new clients.
- Highlighted custodial risks in broker-held demat accounts.
- Led to SEBI mandating direct payout of securities to client accounts.

Key Lessons Learned

- *Client securities must never be co-mingled with broker proprietary assets.*
- *Real-time reconciliation of demat holdings is a critical safeguard.*
- *Regulators should conduct surprise audits of broker pool accounts.*

Case Study 10

ABG Shipyard Fraud

India's Largest Bank Fraud

At a Glance

Period	2012–2017 (alleged)
Amount	₹ 22,842 crore
Key Figure	Rishi Kamlesh Agarwal (ex-CMD)
Sector	Shipbuilding / Corporate Lending
Outcome	CBI filed charge sheet 2022; Agarwal arrested; assets frozen

Background

ABG Shipyard was once India's largest private shipbuilding company, with a consortium of 28 banks lending it over ₹ 22,000 crore. The Central Bureau of Investigation (CBI) alleged that the promoters and management committed criminal conspiracy, cheating, and money laundering by diverting bank funds abroad and to related parties.

Modus Operandi

- Funds diverted to related companies and foreign entities through fake trade deals.
- Assets acquired overseas using bank loans but never disclosed or mortgaged.
- Loan accounts declared NPA in 2013 but fraud reported to CBI only in 2022.
- Multiple forensic audits conducted before CBI complaint — significant delays.

Impact & Consequences

- SBI alone lost ₹ 2,925 crore; ICICI Bank ₹ 7,089 crore across the consortium.
- Highlighted how long it takes Indian banks to classify cases as fraud.
- Drew attention to consortium lending coordination failures.
- Led to calls for mandatory timely reporting of bank fraud to enforcement agencies.

Key Lessons Learned

- Consortium lenders must share forensic audit reports promptly.
- Large corporate borrowers need more frequent asset verification.
- Delay in fraud reporting compounds losses and weakens prosecution.

Case Study 11

Kingfisher Airlines Scam

The King of Good Times Turns Bad

At a Glance

Period	2012–2016 (PNB loan fraud declared)
Amount	₹ 9,000+ crore bank loans defaulted
Key Figure	Vijay Mallya
Sector	Aviation
Outcome	Mallya fled to UK; declared fugitive economic offender; extradition pending

Background

Kingfisher Airlines, promoted by liquor baron Vijay Mallya, was once India's second-largest airline. Loaded with debt from an ill-timed acquisition of Air Deccan, the airline ran up massive losses and defaulted on employee salaries, fuel bills, and bank loans before its operating licence was suspended in 2012.

Modus Operandi

- Brand 'Kingfisher' valued at ₹ 4,111 crore and pledged as collateral — intangible asset abuse.
- Loans taken from multiple banks with overlapping collateral.
- Diverted proceeds to UB Group's other businesses.
- Mallya left India in March 2016 before enforcement agencies could act.

Impact & Consequences

- 17 banks lost over ₹ 9,000 crore; SBI led the consortium.
- ~10,000 employees went unpaid for months.
- UK courts ordered Mallya's assets frozen; extradition battle ongoing.
- Spurred introduction of the Fugitive Economic Offenders Act, 2018.

Key Lessons Learned

- *Intangible assets should not be accepted as primary loan collateral.*
- *Airline industry-specific risks require sector-aware credit appraisal.*
- *Early lookout notices and passport impoundment are critical for high-profile debtors.*

Case Study 12

Ketan Parekh Scam

The K-10 Stocks Manipulation

At a Glance

Period	1999–2001
Amount	~₹ 1,250 crore
Key Figure	Ketan Parekh (Stockbroker)
Sector	Stock Market / Banking
Outcome	Convicted; 14-year ban by SEBI; several bankers jailed

Background

Ketan Parekh was a Chartered Accountant turned stockbroker who rode the global dot-com boom to artificially inflate a cluster of technology and media stocks. Known as K-10 stocks, these included Himachal Futuristic, Global Tele-Systems, Zee Telefilms, and Pentafour Software. He used borrowed funds from co-operative banks to pump and then dump these stocks.

Modus Operandi

- Circular trading — bought and sold same scrips between linked entities to show fake volumes.
- Used pay orders from Madhavpura Mercantile Co-operative Bank (MMCB) without adequate margin.
- Colluded with promoters of K-10 companies to manage public perception.
- Offshore entities used to route funds back into Indian markets.

Impact & Consequences

- Sensex fell ~56% between February 2000 and September 2001.
- MNCB collapsed; thousands of depositors lost savings.
- UTI's US-64 scheme badly impacted; government had to intervene.
- Triggered major SEBI reforms including surveillance systems and circuit breakers.

Key Lessons Learned

- Circular trading detection requires algorithmic market surveillance.
- Co-operative banks should not be exempt from RBI's prudential norms.
- Circuit filters and market-wide position limits control speculative excess.

Case Study 13

2G Spectrum Scam

India's Biggest Policy Corruption Scandal

At a Glance

Period	2008
Amount	₹ 1.76 lakh crore (CAG estimated loss)
Key Figures	A. Raja (Telecom Minister), Kanimozhi
Sector	Telecom / Government Policy
Outcome	Licences cancelled by Supreme Court 2012; trial acquittals 2017 (contested)

Background

The 2G spectrum allocation scam involved the Indian government allegedly allocating mobile spectrum licences to telecom companies at 2001 prices in 2008, despite a vastly changed market. The CAG estimated the loss to the exchequer at up to ₹ 1.76 lakh crore. The process bypassed auctions, favoured select applicants, and involved alleged kickbacks to political parties.

Modus Operandi

- First-come-first-served policy used instead of transparent auctions.
- Application deadlines changed without notice to favour select companies.
- Alleged kickbacks routed through shell companies to a political party.
- Licence eligibility criteria altered to disqualify stronger applicants.

Impact & Consequences

- Supreme Court cancelled 122 licences in 2012.
- India eventually moved to spectrum auctions, generating ₹ 1 lakh crore+.
- Undermined investor confidence in Indian policy consistency.
- Contributed to the UPA government's electoral defeat in 2014.

Key Lessons Learned

- *Natural resource allocation must always be through transparent, competitive auctions.*
- *CAG audits serve a vital public accountability function.*
- *Policy decisions that benefit select private parties need mandatory documentation.*

Case Study 14

Nirav Modi Scam

Punjab National Bank Fraud

At a Glance

Period	2011–2018
Amount	₹ 13,500 crore
Key Figures	Nirav Modi, Mehul Choksi
Sector	Banking / Jewellery
Outcome	Nirav Modi arrested in UK 2019; extradition ordered 2021; Choksi in Antigua

Background

Nirav Modi, a celebrity diamond jeweller, and his uncle Mehul Choksi allegedly colluded with rogue PNB officials to fraudulently obtain Letters of Undertaking (LoUs) — a form of bank guarantee — without any margin or proper credit appraisal. These LoUs were used to borrow money from overseas branches of Indian banks to fund imports.

Modus Operandi

- PNB officials issued LoUs through SWIFT without recording them in the CBS (core banking system).
- Fraud perpetuated for 7 years across 1,213 fraudulent LoUs.
- Borrowings rolled over continuously — a classic ever-greening scheme.
- Nirav Modi and Choksi fled India days before the fraud was formally reported in 2018.

Impact & Consequences

- PNB's stock fell ~10% in a single day on disclosure; eventually over 40% from peak.
- All Indian banks directed to integrate SWIFT with CBS — plugging the key loophole.
- RBI banned LoUs and Letters of Comfort for trade credit.
- Case became a symbol of fugitive economic offenders and triggered new law.

Key Lessons Learned

- *SWIFT transactions must always be reconciled daily with core banking systems.*
- *Maker-checker controls and branch audits must cover off-balance-sheet instruments.*
- *India needs faster extradition treaties and asset recovery mechanisms.*

Case Study 15

Coalgate Scam

Coal Block Allocation Scam

At a Glance

Period	1993–2010 allocations; 2012 revelation
Amount	₹ 1.86 lakh crore (CAG estimated loss)
Key Figures	Multiple Ministers, Corporate Houses
Sector	Mining / Government Policy
Outcome	Supreme Court cancelled 214 allocations; CBI investigated; convictions in some cases

Background

Between 1993 and 2010, the Indian government allocated 194 coal blocks to public and private firms through a screening committee process rather than competitive auctions. The CAG found that this resulted in a notional gain to allottees — and corresponding loss to the public exchequer — of up to ₹ 1.86 lakh crore. Several allottees received blocks without meeting eligibility criteria or utilising the coal for stated purposes.

Modus Operandi

- Screening committee allocations lacked transparency and documented rationale.
- Blocks allocated to entities that sold them or did not develop them.
- Conflicts of interest in committee membership not disclosed.
- CBI alleged kickbacks exchanged for favourable allocations in some cases.

Impact & Consequences

- Supreme Court cancelled 214 of 218 allocated blocks in September 2014.
- Coal India had to ramp up production; power sector disruption.
- Competitive bidding introduced for future natural resource allocations.
- PM Manmohan Singh, as Coal Minister during part of the period, faced political scrutiny.

Key Lessons Learned

- *Natural resources are national assets — auctions are the only fair allocation mechanism.*
- *Screening committees with vague criteria are inherently corruption-prone.*
- *Vigilance audits of natural resource ministries should be continuous, not retrospective.*

Common Patterns Across Indian Financial Scams

Regulatory Arbitrage

Fraudsters exploit gaps between multiple regulators (SEBI, RBI, FMC, MCA) — operating in the seams where no single body has clear jurisdiction.

Delayed Detection

Most scams lasted 5–10 years before exposure, often revealed by journalists or whistleblowers rather than regulators.

Auditor Failure

In virtually every case, statutory auditors signed off on fraudulent accounts — pointing to conflicts of interest and box-ticking audit culture.

Related-Party Channels

Funds are almost always routed through a web of related-party entities, shell companies, and promoter-owned trusts.

Weak Board Oversight

Founder-dominated boards with nominee directors offer no meaningful check on management decisions.

Political Nexus

Several scams (2G, Coalgate, Sahara) had clear political dimensions, highlighting the governance cost of crony capitalism.

Retail Investor Victims

From Harshad Mehta to DHFL, it is always the small retail investor — the last to know — who bears the heaviest burden.

Regulatory Reform Follows

Every scam, while damaging, has ultimately strengthened Indian capital markets — SEBI, RBI, and IBBI emerged stronger after each crisis.

This document is for educational purposes only. Information is compiled from public records, court judgments, regulatory orders, and media reports.